Project MarginSpring: D3 Insight Summary

ANCP Term 5, 2026 · Team J (Abhiroop Ghosh, James Mathew, Ashutosh Mishra) · Guide: Nikhil D Jonathan · 27 October 2026 · Data: D2 Excel file v1.3 (134 quarters, 6 firms, FY15–FY27) · Notebook: ProjectMarginSpring_EDA_Group_J.ipynb

Data and files (Google Drive): https://drive.google.com/drive/folders/1jgL-yZ68l4pia01JHxVYuuy4fZpBzGjK?usp=sharing

Our question. Wipro's IT Services margin is 16.5% (Q2 FY27). Management wants 17.0–17.5%, so the gap is 0.5 to 1.0 percentage points (50–100 bps). How many utilisation points would close this gap, and can a tighter bench policy help? We wrote seven hypotheses before the analysis. These five insights matter most.

The five insights that matter most

#	Insight	Evidence	Confidence
1	**Salary hikes cause the biggest drop in margin.**	In salary-hike quarters margin falls by 62 bps on average; in other quarters it rises by 15 bps (Wipro −54 vs +11, Infosys −72 vs +26, TCS −63 vs −1)	High
2	**Wipro's own data shows only a small, unstable utilisation effect.**	About +15 bps of margin per utilisation point after allowing for other factors. The likely range (−8 to +38) includes zero, and the result turns negative (−16) if FY21–FY23 is removed	Medium
3	**Looking at four firms together gives a clearer answer.**	Wipro, Infosys, LTIMindtree and Tech Mahindra together: about +25 bps per point (likely range 9 to 41). Infosys alone: +16 to +48	Medium
4	**Wipro needs about 2 to 7 more utilisation points.**	Using +25 bps: 2.0–4.1 points (utilisation 85.4–87.5%). Using Wipro's +15 bps: 3.3–6.7 points (86.7–90.1%). Wipro's best ever is 89.2%	Medium
5	**Hiring drives utilisation.**	When a firm hires a lot in one quarter, its utilisation falls the next quarter (correlation −0.45 Wipro, −0.55 Infosys)	Medium

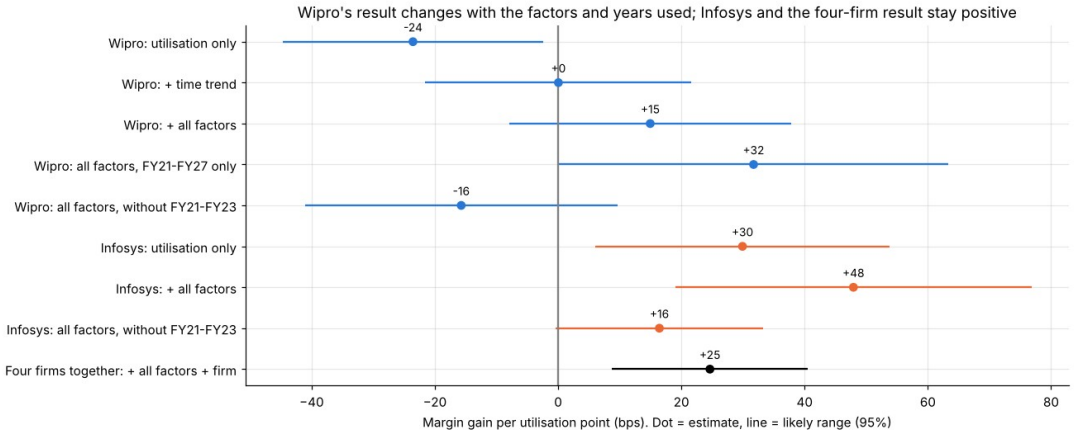


Figure 1. Margin gained per utilisation point in each model. Dot = estimate, line = likely range. Wipro's result moves around; Infosys and the four-firm result stay above zero.

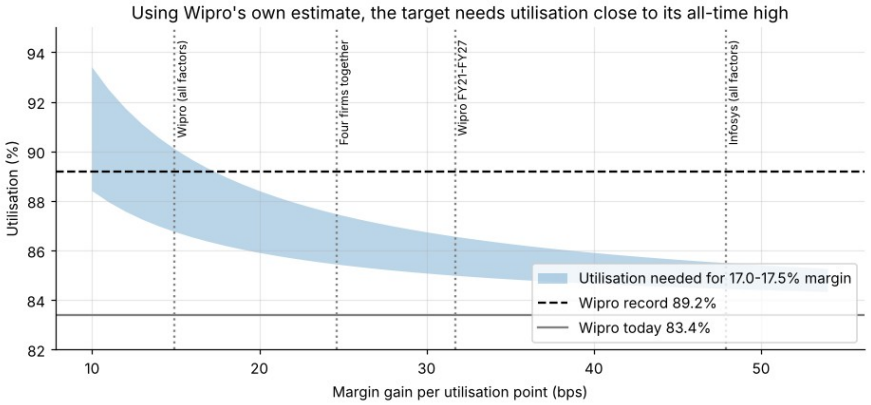


Figure 2. Utilisation Wipro would need to reach a 17.0–17.5% margin, depending on how many bps one point is worth.

Hypothesis results

#	Hypothesis (written before the analysis)	What we found	Result
H1	When Wipro's utilisation goes up, its margin goes up the same quarter	Almost no link (correlation −0.12)	Not supported
H2	The effect shows up only after allowing for other factors	−24 → 0 → +15 bps as factors are added, but it changes with the years used	Partly supported
H3	Salary-hike quarters reduce margin	−62 vs +15 bps; true at all three firms	Supported
H4	One point is worth the same at Wipro and peers	Wipro about +15, Infosys +16 to +48	Not supported
H5	Above 86% utilisation, extra utilisation stops helping	Same change (+6 bps) at 83–86% and above 86%	Not supported
H6	Heavy hiring lowers next quarter's utilisation	Correlation −0.45 Wipro, −0.55 Infosys	Supported
H7	TCS margin did better after its bench cap	TCS +0.4 points vs peers −0.5; headcount −2.5%; gain gone by Q1 FY27; layoffs and salary hikes at the same time	Weak

Bias checks, repeated on the cleaned data

- **Which firms report utilisation:** only lower-margin firms (average 18.0%) report it; TCS and HCLTech (22.3%) do not. So our results should not be applied to TCS.
- **COVID years:** FY21–FY23 is 24% of the data, and leaving it out flips Wipro's result from +15 to −16 bps. We will show results with and without these years.
- **Other checks:** salary-hike dates are known for only 52% of Wipro's quarters (FY21 onwards); Wipro is 49% of the utilisation data; margin-walk statements are mostly from Infosys (15 of 29); two outliers are rebounds after one-off charges and are kept.

How this shapes our modelling (D4)

Decision	What we will do
Main estimate	A regression using all four firms together (about +25 bps per point), with Wipro-only and Infosys-only models as checks, because Wipro's data alone is too noisy
Simple model first	Start with a simple regression. A machine-learning model is used only if it is at least 10% more accurate (D1 rule). With about 100 quarters, a simple model will probably win
Factors in the model	Utilisation, time trend, salary-hike quarter, one-off quarter, USD/INR rate, last quarter's hiring, and which firm it is. No "ceiling" above 86%
Testing	Train on older quarters and test on the latest 6–8 quarters (no shuffling). Repeat without FY21–FY23. Keep Wipro's quarters after its October 2026 bench change for D6
What it means for D5	At +25 bps per point the target is reachable (utilisation about 85.5–87.5%, which Wipro has hit before). At +15 bps Wipro needs 87–90%, close to its record. So D5 should test a bench policy together with hiring control, pricing and cost levers
TCS evidence	Supporting only: TCS does not publish utilisation, and layoffs and salary hikes happened at the same time

All numbers come from the notebook ProjectMarginSpring_EDA_Group_J.ipynb (and its HTML copy), which also has every chart and the full insight log. Data and files: https://drive.google.com/drive/folders/1jgL-yZ68l4pia01JHxVYuuy4fZpBzGjK?usp=sharing